

MGT 405: Managerial Economics (FT)

TERM: Fall 2026

SECTION ID: E 00004659

WEDNESDAY 1:00p - 3:50p, OTRSN 4E106

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OFFICE HOURS: By Appointment (In-Person and Virtual)

TEACHING ASSISTANT/TUTOR: Anna Newman

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DESCRIPTION

This course is an introduction to the use of microeconomics in managerial decision-making. We examine how the optimal strategy of a firm is impacted by the structure of the market, the competitive and regulatory constraints, and the structure of information. Topics include supply and demand analysis, price discrimination techniques, contractual relationships, and asymmetric information. Throughout we highlight the importance of *marginal* analysis in decisions.

All the sub-fields of management education (marketing, finance, organizational behavior, operations, information systems, accounting, and strategy) deal in some way with how businesses and other organizations work to allocate scarce resources among competing needs. Because of this, economics can serve as a unifying framework. I will show you connections between economics and many of the other courses you will take as part of your MBA.

OBJECTIVES

The basic objective of this course is to familiarize you with the approach, language, and techniques of managerial economics. After this course, you will understand economic principles sufficiently to apply them to real world issues and make real world decisions. You should expect to leave the course with a firm grip on how economists think about business problems, and the ability to apply tools from the course to a variety of problems.

To sum up, the objective of this course is to teach students to ***apply economic principles to solving business problems***.

At the close of Managerial Economics you will be able to:

- Learn marginal analysis and how it can be applied for profit maximization
- Understand consumer demand and how to use price elasticity to guide pricing decisions
- Use versioning, bundling and non-linear pricing as strategies to increase profits
- Understand and compare different types of inputs to production and production costs.
- Derive optimal supply recommendations for firms in competitive markets
- Recognize the effects of regulations on market behavior and welfare
- Apply short-term and long-term strategic thinking for pricing and capacity decisions
- Be cognizant of threats to market entry and how to address them
- Design effective incentive schemes considering conflicts of interest

MATERIALS

Required

- Textbook: *Managerial Economics*, 9th Edition, by William F. Samuelson, Stephen G. Marks, Jay Zagorsky.
 - Ebook version.
 - Older editions are also fine
- Course reader: most readings and cases in the reader will be required (on Study.Net Materials, via Canvas).

GRADING

Your performance will be evaluated on two exams, homework assignments, and class participation by one of the following two formulas (the one leading to the higher grade):

Exams and Deliverables	Formula 1 Percentages	Formula 2 Percentages
Final Exam	30%	45%
Midterm Exam	30%	15%
Homework	25%	25%
In-Class Work Sessions	15%	15%
Total	100%	100%

In other words, if you perform better on the second than you did on the first exam, I will heavily discount your grade from the first exam toward your class grade. Regardless, however, it's still in your best interest to do as well as you can on both exams.

IN-CLASS WORK SESSIONS (5 total, at 3% each)

This course will mainly involve in-person lectures. During these lectures, we will review the materials of the course. I will present key concepts and explain their application. We will discuss cases and news articles. We will have class discussions to share insights and experiences applying economic concepts to business problems. On 5 occasions, we'll finish the day with an in-class "work session", which will be an opportunity for you to work in groups on practice problems/questions regarding the material.

Participation and attendance will not be tracked or graded explicitly. Both are strongly encouraged, since they will not only make you better off, but also improve your classmates' learning experiences and outcomes. If you cannot make it in-person to either of the exams, please let me know in advance and we can find a way to accommodate you. Advanced notice isn't necessary if you miss a standard lecture.

- The quality of your participation is essential for the class to work. This includes interactive lectures, case discussions, in-class work sessions and class activities.
- Participation also includes writing your name on a name card in class.

- Please do your best to attend every class since active discussion is an important learning opportunity.

HOMEWORK

Your homework grade will involve the following three components:

- 3 group homework assignments (3% each)
- 4 individual homework assignments (2% each)
- 9 individual Reading Questions (1% each) - one can be “dropped”

All three of the above types of homework will be posted and submitted (like a typical homework assignment) on Canvas. If you have questions about your submission, please email the TA.

Group Homework Assignments (gHW)

You will be asked to prepare these assignments with your study group and hand in one written solution for each group.

- a. There will be 3 group cases.
- b. Guidelines for the case write-ups will be provided on canvas.
- c. In addition to submitting the group homework, we will have some teams present their proposed case analyses to the class, and some teams lead the discussion of the proposed solutions.
- d. The schedule of presentations will be discussed during Week 1.

Individual Homework Assignments (iHW)

These are problem sets, which are to be done individually or in groups, but you must hand in your own individual assignment. They won't be graded for correctness. Full points can be attained if you sincerely attempt to answer each question, even if you make mistakes. Solutions will then be posted so that you can check your work. The idea is that these will help you get practice with the material.

Reading Questions

There will be reading assignments for each session. The list of questions that you are asked to prepare for each session will be posted on Canvas, together with the specific required and suggested readings.

It is essential that you prepare the readings before class. During class we will discuss your answers to the questions asked about the readings and you will be expected to discuss with your fellow classmates.

MIDTERM AND FINAL EXAMS

The Midterm Exam will be held on November 4th during class (normal class start time and location). The material covered consists of in-class material, discussions, and homework assignments from sessions 1 to 5. Closer to the date, we will release our policy regarding whether it will be open-book or closed.

The Final Exam will be held during finals week (“Week 11”). The material covered consists of in-class material, discussions, and homework assignments from sessions 7 to 10. Closer to the date, we will release our policy regarding whether it will be open-book or closed.

COURSE SUPPORT

Managerial Economics can be a difficult first-course at Rady, as many concepts are new and abstract, and we rely on quantitative and mathematical approaches to solve business problems. We recognize this and have set up many avenues for support for this class.

Anna (our TA) is planning to hold 1-hour discussion sections each week where she'll review the material and give you an opportunity for extra practice. She will also hold office hours right afterwards.

Discussion sections are optional, for hands-on, practice and application of concepts, as well as a place where you can ask more detailed questions about specific steps in arriving at different solutions.

SCHEDULE

For our schedule, see the syllabus page on Canvas.

HELP

You may need some out-of-class help as the term progresses. There are several places to find it.

First, you can talk to me. Questions right after class, when the questions are fresh in your mind, are often a good idea. Questions right before class are less good; I usually have to arrange the presentation and would like to begin class on time. Whether it is a specific question, general confusion about a topic or you are just unclear as to where you stand, you can always come and see me in my office / virtually.

Next is the course's TA. The TA will hold weekly discussion sections plus have some office hours. Sections are used to review and reinforce material covered in the lectures. Attendance is encouraged, but it is not mandatory. Some students find discussion sections to be a very efficient time to absorb and reinforce the class material, while other students may prefer to absorb the class material at their own desired time.

Last but not least, office hours are unstructured Q&A sessions - you come with requests to discuss this or that, or to (re)do a specific problem together.

AI POLICY

I am a big fan of AI as a learning tool. It can really help things "click". USE IT! Have conversations with it, push back against it if what it's saying isn't making sense. You may use it as you prepare your write-ups, to help you study for the exam, and as you work on your final projects. Just remember that

- 1) **You won't be able to use it on the exams.** The exam is where you'll show me you know the material inside and out. I don't mind if AI helped it "click" for you along the way.
- 2) **You won't be able to use it while you present and field questions during your presentation.** Once again, I don't mind if AI helped you prepare, but when you're in front of the class presenting, you want it to be clear as day that you have a firm grasp of every point you're saying and every question you're answering.

ACADEMIC INTEGRITY

Integrity of scholarship is essential for an academic community. As members of the Rady School, we pledge ourselves to uphold the highest ethical standards. The University expects that both faculty and students will honor this principle and in so doing protect the validity of University intellectual work. For students, this means that all academic work will be done by the individual to whom it is assigned, without unauthorized aid of any kind.

The complete UCSD Policy on Integrity of Scholarship can be viewed at:
<http://senate.ucsd.edu/Operating-Procedures/Senate-Manual/Appendices/2>

STUDENTS WITH DISABILITIES

A student who has a disability or special need and requires an accommodation in order to have equal access to the classroom must register with the Office for Students with Disabilities (OSD). The OSD will determine what accommodations may be made and provide the necessary documentation to present to the faculty member.

The student must present the OSD letter of certification and OSD accommodation recommendation to the appropriate faculty member in order to initiate the request for accommodation in classes, examinations, or other academic program activities. **No accommodations can be implemented retroactively.**

Please visit the [OSD website](#) for further information or contact the Office for Students with Disabilities at (858) 534-4382 or osd@ucsd.edu.